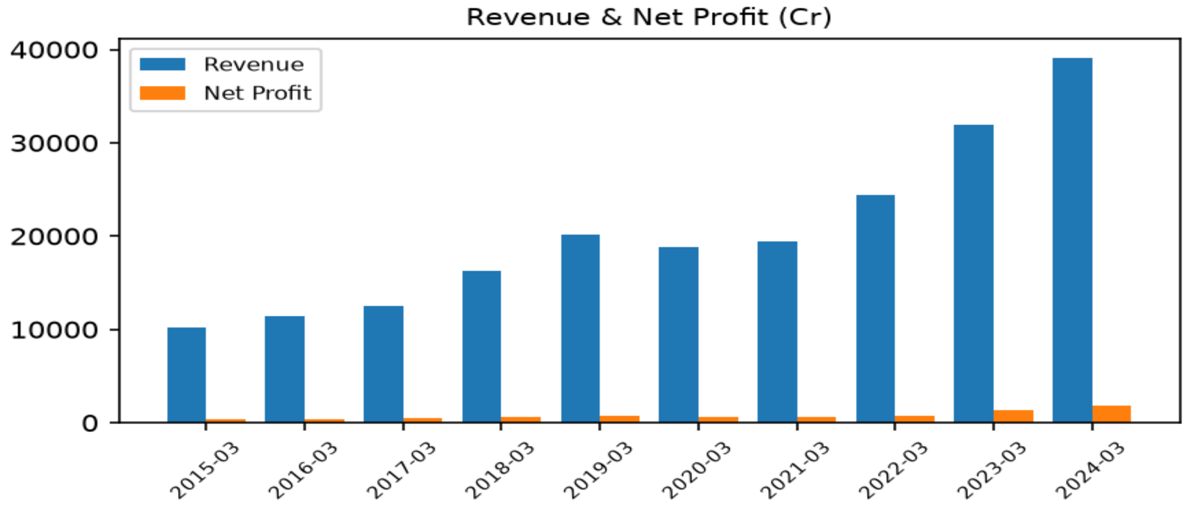
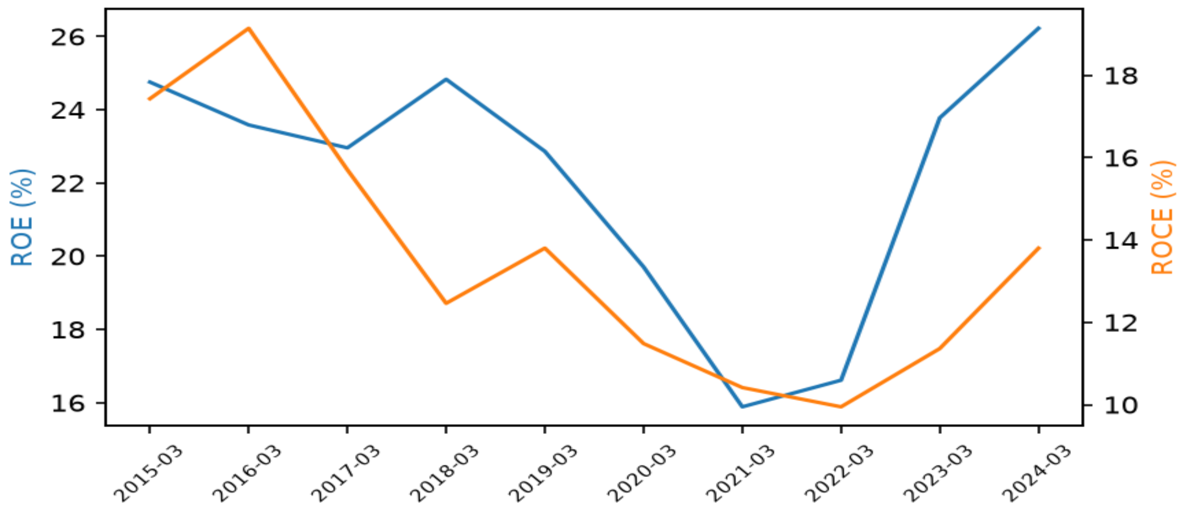
TVS Motor Company Ltd (TVSMOTOR)

ROE 26.2%	**ROCE** 13.8%	**Net Profit Margin** 4.5%
D/E 3.8	**Revenue CAGR 5yr** 14.2%	**Free Cash Flow (Cr)** -2254.0

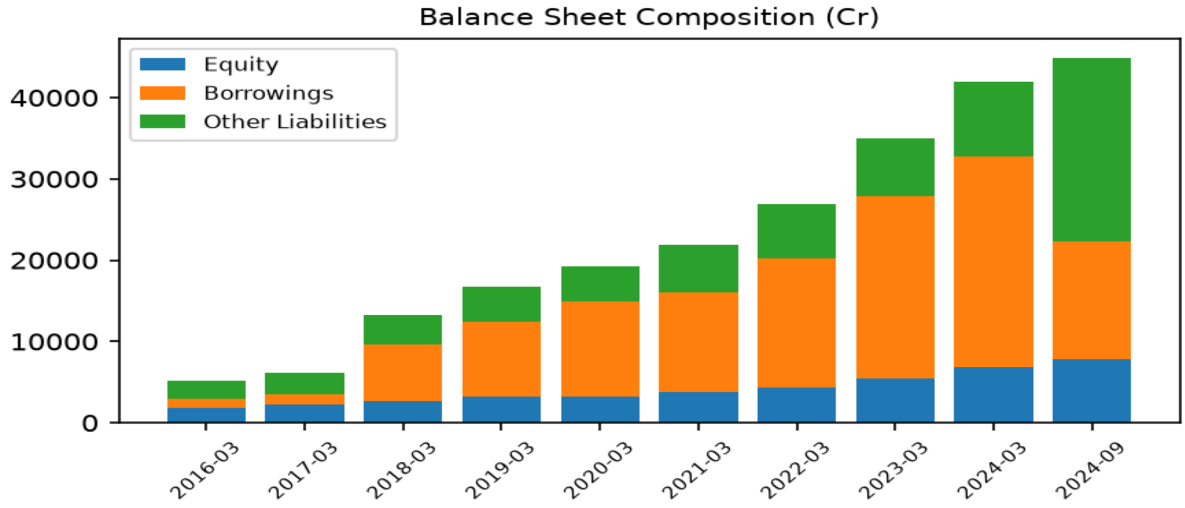
Revenue & Net Profit (10yr)



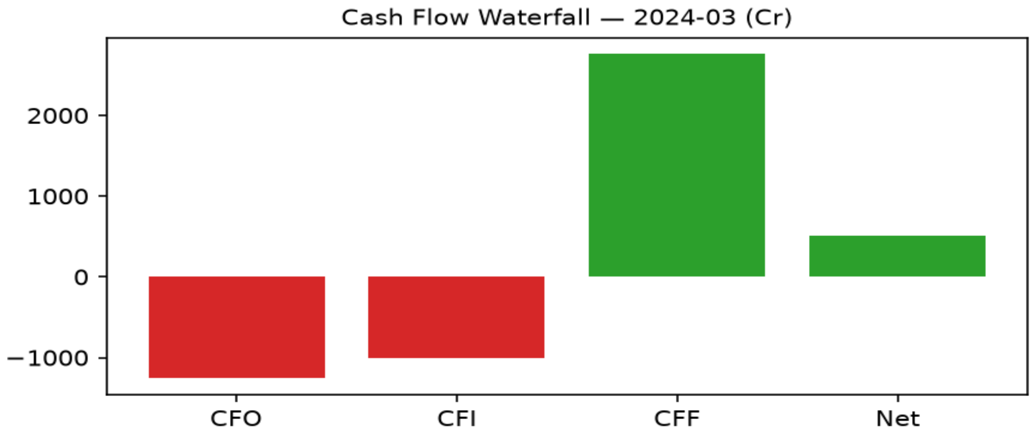
ROE & ROCE (10yr)



Balance Sheet Composition



Cash Flow (Latest Year)



Pros

✓ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
✓ Return on equity improving for 3 consecutive years shows strengthening business quality
✓ Revenue growing slower than profits shows improving operating leverage and scale benefits
✓ Return on equity of 26.2% reflects the company's baseline capital efficiency.

Cons

✗ Debt-to-equity ratio of 3.8 is elevated for a non-financial company and warrants monitoring
✗ Free cash flow negative for 3 consecutive years raises concern about cash generation quality
✗ Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
✗ Debt-to-equity of 3.83 is a general leverage level worth monitoring alongside sector peers.

Capital Allocation: Growth Funded by Debt